Vivad se Vishwas II - Standardized Settlement of Contractual Disputes with MSMEs

Issuing Authority: Department of Expenditure, Ministry of Finance, Govt. of India

1. Standardized Settlement Framework

The Department of Expenditure formulated Vivad se Vishwas II to settle long-pending contractual disputes between MSME vendors and government departments/CPSEs. It eliminates protracted litigation and unlocks trapped working capital.

2. Graded Settlement Offers

The scheme offers standard settlement percentages without case-by-case discretion:

• Court Award Cases: Settlement offer of up to 85% of the net amount awarded by a court.

• Arbitral Award Cases: Settlement offer of up to 65% of the net amount awarded by an Arbitral Tribunal.

3. Applicability Criteria

Applies to all disputes involving domestic contractors where the award was issued by a designated date, regardless of whether appeals are pending in high courts or appellate tribunals.

4. Rapid Resolution Timeline

Once an MSME contractor accepts the settlement offer online via the GeM portal, the government entity executes a binding settlement agreement and releases payment within 21 days.